
Porter's Value Chain: A Framework for Understanding Firm-level Value Creation & Capture

Jeff Furman, Nalin Kulatilaka, and Rebecca Nichols (v. June 28, 2024)

Introduction

In his landmark 1985 book, *Competitive Advantage: Creating and Sustaining Superior Performance*, Michael E. Porter introduced the Firm Value Chain framework (or "Porter Value Chain") as an approach to understanding the ways in which firms create and capture value.¹

Porter's Value Chain (PVC) makes a distinction between what Porter considers to be firms' primary activities and their support activities. Each kind of activity can contribute to the firm's overall value and competitive position. In Porter's view, the activities will be most effective in enabling value creation and capture when they fit together and fit the demands of the firm's competitive environment.



Whereas the simple Value Chain maps the economic relationships among key organizations in an industry or firm supply chain, the Porter Value Chain highlights the internal choices made by a firm and notes how those relate to the economic actors outside of the firm's boundaries.

Primary Activities

Porter identified five 'primary' activities. These include:

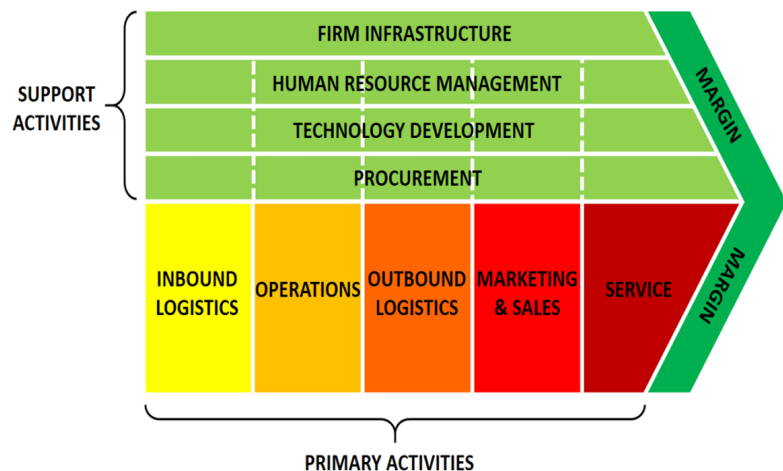
(1) Inbound Logistics: Activities associated with inbound logistics include receiving, storing, and distributing inputs. These include material handling, warehousing, inventory control, and returns to suppliers. Efficient inbound logistics can reduce costs and improve the quality of inputs, which can contribute to buyer willingness-to-pay.

(2) Operations: Operations refers to the transformation of inputs into final products. Typical activities include machining, packaging, assembly, maintenance, and testing. Effective operations can enhance product quality and reduce production costs.

(3) Outbound Logistics: This refers to activities associated with distributing final products to customers, including order fulfillment, transportation, and distribution management. Efficient outbound logistics ensure timely delivery and can enhance customer satisfaction.

(4) Marketing and Sales: These activities inform buyers about products, induce buyers to purchase, and facilitate the purchase process. Such activities include advertising, pricing, channel selection, promotions, and sales force management. Effective marketing and sales strategies can boost demand, drive brand loyalty, raise barriers to entry for rivals, and affect product price and willingness to pay.

(5) Service: Service refers to activities that maintain and, potentially, enhance a product's value after purchase. These can include installation, training, repair, and supply of replacement parts. Effective service can increase customer satisfaction and repeat business, while also affecting firm average costs.



¹ One important note is that the Porter Value Chain is a **framework** not a **model**. This is an important distinction. A **model** is a representation or abstractions of reality, typically simplified by assumptions. By contrast, a framework is a conceptual mechanism that provides a structure for thinking about a problem. Models help people understand or simulate a subject, often focusing on the most important elements and ignoring secondary or tertiary elements. A model distills complex systems or phenomena into simpler, more manageable forms, enabling comprehension, description, or prediction. Often used in science, economics, and software development, models serve as analytic tools that enable hypothesis testing in a narrow or theoretical manner. For example, economists develop models of supply and demand to explain and analyze prices and quantities traded under various market conditions. **Frameworks**, like the Porter Value Chain, simple Value Chain, and the Value Stick provide foundations for thinking about problems and structures for generating conclusions. They are designed to guide thinking and prompt recommendations, but they can be used more flexibly than models.

Because Porter originally formulated his ideas in the 1980s, these activities are most relevant for manufacturing and service business and include some activities that are less important for some digital businesses. Nearly all continue to apply to firms in the modern economy, though the list could be modified to reflect digital-enabled firms.

Support Activities

Porter identified four principal support activities. These are just as important as the primary activities. The term connotes that each such activity provides support for each of the primary activities.

- (1) Firm Infrastructure:** This refers to the broad set of activities that support the entire value chain, including general management, finance, accounting, law, quality management, and strategy. An effective infrastructure coordinates and can enable the efficient functioning of all of the firm's activities.
- (2) Human Resource Management:** These are activities associated with recruiting, hiring, training, developing, and compensating employees. Effective human resource management enables a firm's workforce to effectively support its other activities.
- (3) Technology Development:** These refer to activities that improve a firm's products and processes, including includes research and development, process automation, and product design. Advances in this area can lead to innovative products and more efficient processes.
- (4) Procurement:** These are activities related to acquiring firm resources, including raw materials, components, and supplies. Effective procurement can reduce costs and support the quality of firm inputs.

Porter's Value Chain framework: application, insights, and concluding notes

There are many ways to apply Porter's Value Chain framework. To be truly comprehensive in applying the framework could require weeks of information gathering and analysis. For example, understanding the full set of investments in even just inbound logistics made by firms like Amazon, BYD, Mitsubishi, Samsung, Saudi Aramco, would require multiple pages of synthesis. However, it is also possible to obtain valuable insights with smaller investments of time and effort.

For our purposes, the framework's primary use is to provide a convenient way of summarizing a firm's various activities. Conducting background research on a firm should enable an analyst to describe each of a firm's primary activities and the ways in which the support activities enable the firm to create value. Even basic summaries of the most important investments that firms make in each activity can provide insights into their approaches to value creation. For example, even a cursory analysis of Ikea would document that the firm invests heavily in standardization and inbound logistics but substantially less in post-sales service. Such analysis is particularly interesting when used to benchmark firms relative to each other. Comparing PVCs for firms in the same industry highlights the diversity of approaches that can be applied to solve similar business problems.

One additional note is that while firms must address each of the activities in the PVC, they do not necessarily need to do all activities themselves. It is possible to outsource nearly every one of the primary and support activities.

The key insights of the framework include the following: (a) all of the activities of the firm need to work together and in a coordinated fashion in order to enable value creation and capture and (b) firms need to understand the needs of their buyers and the exigencies of their supply chains in order to design activities that will enable them to achieve the willingness to pay and average costs that will create value and provide the opportunity for value capture. Firms whose activities are not mutually reinforcing or that do not fit with their firm's customer needs or competitive environment may fail to create or capture substantial value.

While the PVC framework is helpful for understanding firm choices and obtaining insights about how firms aim to create value, the framework does not yield a numerical estimate of either firm value creation or value capture. It can, however, provide insights regarding whether a firm's choices are likely to create substantial value, particularly when compared with rivals' choices, and it can be used to make informed predictions about whether a firm's activity choices are unlikely to yield high margins, i.e., if they do not fit together, if they are inefficient, or if they are poor fits for the competitive environment.